

- 30 basis points of net tariff impact from higher costs and recognized recoveries,
- 20 basis points of higher commodity costs,
- 10 basis points of unfavorable foreign exchange impacts and
- 10 basis points of other items and rounding.

These decreases were partially offset by:

- 180 basis points of manufacturing productivity savings,
- 40 basis points of increase due to higher pricing.

Total SG&A increased 6% to \$23.9 billion and increased 60 basis points to 27.5% as a percentage of net sales due primarily to an increase in marketing spending as a percentage of net sales.

- Marketing spending as a percentage of net sales increased 80 basis points due to an increase in marketing spending, partially offset by productivity savings.
- Overhead costs as a percentage of net sales were unchanged as wage inflation headwinds and restructuring spending were offset by productivity savings.
- Other operating expenses as a percentage of net sales were unchanged.

Productivity-driven cost savings delivered 160 basis points of benefit to SG&A as a percentage of net sales.

Operating income decreased \$703 million, or 3%, to \$19.7 billion as the increase in net sales was more than offset by the decrease in gross margin and increase in SG&A spending. The operating margin decreased 160 basis points to 22.7% due primarily to the decrease in gross margin and increase in marketing spending.

Non-Operating Items

- Interest expense was \$877 million, a decrease of \$30 million versus the prior year.
- Interest income was \$430 million, a decrease of \$39 million versus the prior year.
- Other non-operating income/(expense), net increased \$922 million to \$1.1 billion primarily driven by the non-cash charge for accumulated foreign currency translation losses due to the substantial liquidation of operations in Argentina in the prior year and the gain from the dissolution of the Glad joint venture business in the current year period.

Income Taxes

The effective income tax rate for fiscal year ended June 30, 2026, was 20.8%, compared to 20.3% for the fiscal year ended June 30, 2025. The increase in the effective tax rate was primarily driven by lower excess tax benefits of share-based compensation in the current year and unfavorable geographic mix impacts, partially offset by a decrease from discrete impacts related to uncertain tax positions and the prior year charge for accumulated foreign currency translation losses due to the substantial liquidation of operations in Argentina.

Net Earnings

Earnings before income taxes increased \$210 million, or 1%, to \$20.4 billion as the increase in other non-operating income/(expense), net, the components of which are described above, were partially offset by the decrease in operating income. Net earnings increased \$79 million to \$16.1 billion as the increase in earnings before income taxes was partially offset by the effective income tax rate increase discussed above.

Foreign exchange impacts increased net earnings by approximately \$224 million due to a strengthening of certain currencies against the U.S. dollar. This impact includes both transactional charges and translational impacts from converting earnings from foreign subsidiaries to U.S. dollars.

Net earnings attributable to Procter & Gamble increased \$72 million to \$16.0 billion.

Diluted EPS increased \$0.11, or 2%, to \$6.62 due to an increase in net earnings and a reduction in shares outstanding.

SEGMENT RESULTS

Segment results reflect information on the same basis we use for internal management reporting and performance evaluation. The results of these reportable segments do not include certain non-business unit specific costs which are reported in Corporate and are included as part of the Corporate discussion. Additionally, we apply blended statutory tax rates in the segments. Eliminations to adjust segment results to arrive at our consolidated effective tax rate are included in Corporate. See Note 2 to the Consolidated Financial Statements for additional information on items included in Corporate.